

MINUTES
THE CENTRAL BANK OF ARMENIA BOARD MEETING
(12.09.2023)

On the refinancing rate

The Central Bank Board Meeting of September 12, 2023 attended by Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan, Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of September 12, 2023. It addressed the developments on inflation, external environment, and real, fiscal, financial, and monetary sectors of the economy.

Current developments in the external sector were presented. In the third quarter of 2023, it was recorded, the economic activity in the world and the main partner countries to Armenia remains sluggish, as well as the risks of weaker economic activity have substantially increased. With such developments in the global economy as well as contractionary monetary policy implementation in place, the overall inflation environment in the world continued to soften significantly. This was reflected by certain deflationary patterns observable in international commodity markets, as a result of which the prices will remain low in the near future. Nevertheless, influenced by inflationary pressures from the labor market and driven by sustained high demand, the prices of goods and services that stand out with “sticky” prices still remain elevated. In such a situation, the central banks of the main partner countries to Armenia will further pursue a relatively contractionary monetary policy in the near future. The estimation is that the deflationary effects transmitted from the external sector to the Armenian economy will persist as a result of gradual weakening of demand and inflation under tight financial conditions.

The Board discussed the current developments in the Armenian economy; it was recorded that the economic activity growth in Armenia somewhat slowed down during the third quarter but is still at a high level thanks to strong growth recorded mainly in services and construction. During the quarter, despite some decline, aggregate demand also remains relatively high, which is supported by sustained high growth in both external and domestic demand. The external demand, it was noted, is shored up by still high growth rates of capital and labor inflows amid tourism growth, while the increase in domestic demand largely owes to accelerating private consumption growth rates.

Armenia’s financial market developments were addressed; in the third quarter of 2023, it was stated, the short-term market interest rates came to again shaping mostly around the policy rate. During the quarter, in order to ensure normal functioning of the financial market, the Central Bank of Armenia continued its situational intervention in the domestic currency market through purchases of foreign currency. It was also admitted that with domestic demand accelerating, consumer loans are rapidly growing, and the banking system maintains high liquidity and capital levels.

The Board proceeded to discussing the inflation developments; it was stated that 0.1% of inflation was recorded in August of 2023, compared to the previous month, due to the increase in prices of non-

food products and service tariffs by 0.6% and 0.4%, respectively. Prices of food products decreased by 0.3% during the month. As a result, the 12-month inflation remained almost unchanged, making up -0.2% at the end of the month. The 12-month core inflation continued to subdue, reaching 0.4%. The inflation expectations, it was also noted, subsided to some extent during the third quarter, driven by deflationary effects from the external sector, the contractionary monetary policy implemented by the Central Bank of Armenia, and the dram's appreciation. However, the inflation of services and some goods adjusts relatively slowly.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board proceeded to addressing the macroeconomic scenarios and monetary policy directions, and to making decision on the policy interest rate. Given the aforementioned macroeconomic situation, the policymakers' team apprised the Board of the scenarios describing the monetary risks that would possibly derive from upcoming economic development outlooks. The members of the Board, discussing a variety of scenarios of economic development, agreed that inflation and inflation expectations had somewhat subsided as a result of deflationary effects transmitted from the external sector and the implemented monetary policy, largely offsetting the risks to deanchoring of inflation expectations. Taking into account the above factors and the scenarios of a notable slowdown in the global economy, on the one hand, and possible acceleration of potential growth of the Armenian economy, on the other, some members of the Board were of the opinion that loosening monetary conditions in a quick and big step would be more appropriate in terms of managing the probable deflationary risks. Others reckoned that, even with an environment of low inflation, aggregate demand persisted high, labor market remained somewhat overheated despite a little slowing in the wage growth rate, while inflation lingered high in the services sector. Consequently, in their opinion, future inflationary risks were not fully neutralized, so the adopted policy needed to be continued along with increased care in regard to a change of monetary conditions, aiming to reduce the interest rate in a smaller step. As a result, the **Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.5 percentage point**. The Board also endorsed its commitment in taking adequate measures to regulate demand and stabilize inflation expectations. As outlined in the monetary policy scenario, the 12-month inflation will remain below the target in the near future, it then will gradually increase and stabilize around the 4% target in the medium term.

The Board also estimated that the risks of inflation deviating from the projection path are mostly balanced. In the event the risks materialize in any direction, the Board will react accordingly to ensure the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank of Armenia and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

September 12, 2023, No. 141 L

ON THE SETTING OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA AND THE PRESS RELEASE ON THE REFINANCING RATE

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 9.75%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 11.25%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 8.25%.
4. Approve the Press Release on the Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank of the Republic of Armenia

c. Yerevan

PRESS RELEASE
12.09.2023

At the September 12, 2023 meeting, the Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.5 percentage points, setting it at 9.75 %.

In August 2023, the 12-month inflation remained almost unchanged, amounting to -0.2%. The 12-month core inflation continued to decrease; it reached 0.4% at the end of August.

Risks of decline in global economic activity have increased substantially. In the main partner countries of the Republic of Armenia, the 12-month inflation keeps on decelerating but the prices of goods and services with “sticky” prices remain elevated. Consequently, the central banks of the partner countries will continue to conduct a relatively contractionary monetary policy. Under tight financial conditions and a slowdown in global economic activity, prices in international commodity markets will further stand at low levels. As a result, deflationary effects on the Armenian economy from the external sector will carry on.

In the third quarter of 2023, high growth rate of economic activity in the Republic of Armenia slowed down, still staying at a high level. The economic growth continues to be supported by high growth in the construction and services. The latter bear the effects of strong domestic and external demand in the economy. As deflationary effects spill over to the domestic economy from the world economy, the Central Bank of Armenia implements a contractionary monetary policy, and the dram appreciation continues, high demand and inflation expectations contributing to inflation have decreased to some extent. However, inflation in services and some goods is adjusting relatively slowly.

The Board of the Central Bank of Armenia finds it appropriate to reduce the policy rate.

The Board will be consistent in taking action to handle demand and stabilize inflation expectations. As outlined in the monetary policy scenario, the 12-month inflation will remain below the target in the near future, then it will gradually increase and stabilize around the 4% target in the medium term.

The Board estimates that the risks to inflation deviating from the projected path are mostly balanced. In the event these risks materialize in any direction, the Board will react accordingly in fulfilment of the price stability objective.

Press Service of the Central Bank of the Republic of Armenia